

Strait of Hormuz Disruptions

The burden of oil price shocks
on vulnerable economies

2 June 2026

Introduction

Disruptions in the Strait of Hormuz are sending shockwaves through the global energy system.

Vulnerable economies are on the front line:
of 75 economies¹—least developed countries (LDCs) and small island developing States (SIDS)—65 depend on imported oil.

For these countries, rising energy prices will translate into higher costs and difficult trade-offs—between covering fuel bills and investing in essential public services. This will affect nearly 1 billion lives.

Without relief, these shocks will further entrench structural vulnerabilities.

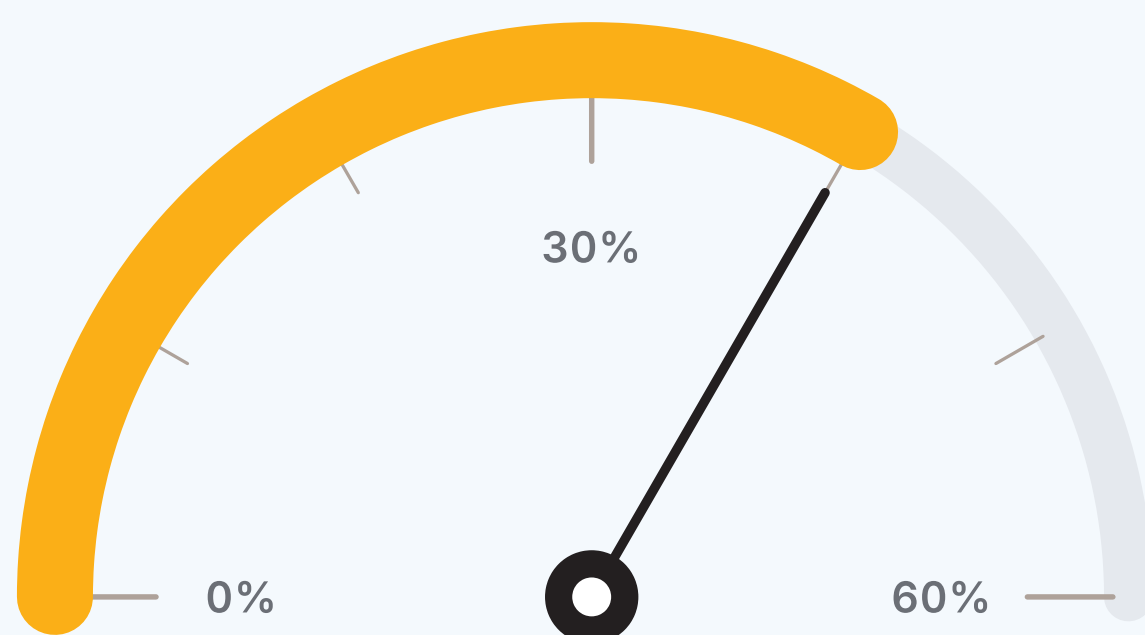
¹ The analysis is based on 75 vulnerable economies, excluding Singapore from the SIDS.



Prices of oil and refined oil products have risen sharply.



Crude oil
(\$ per barrel)

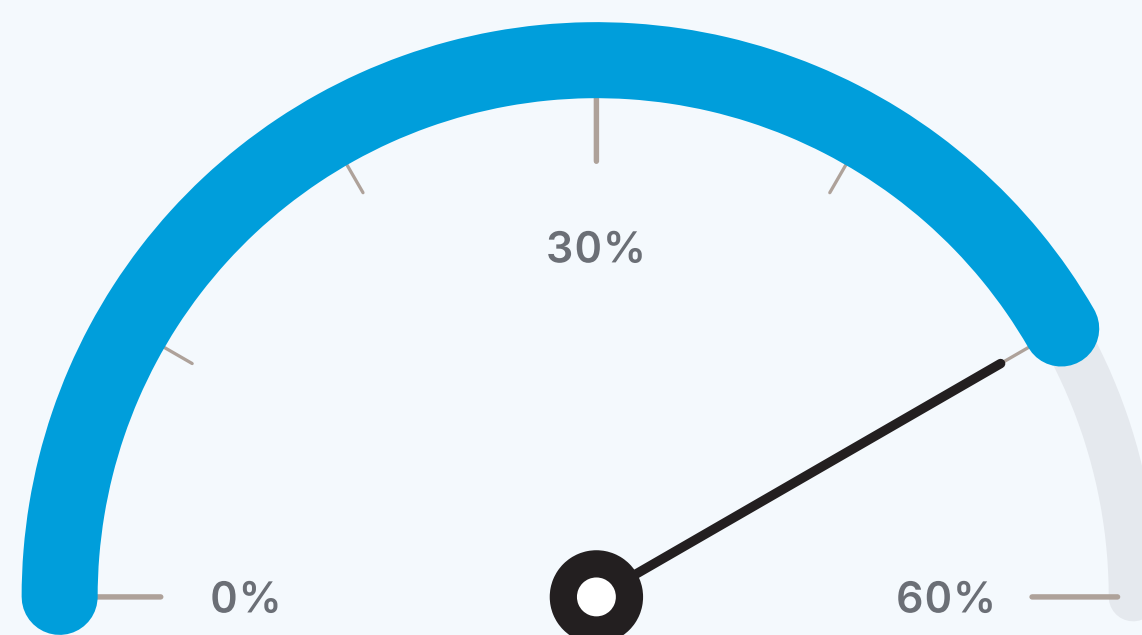


↑ MORE THAN

+40%



Gasoline
(\$ per metric tonne)



↑ MORE THAN

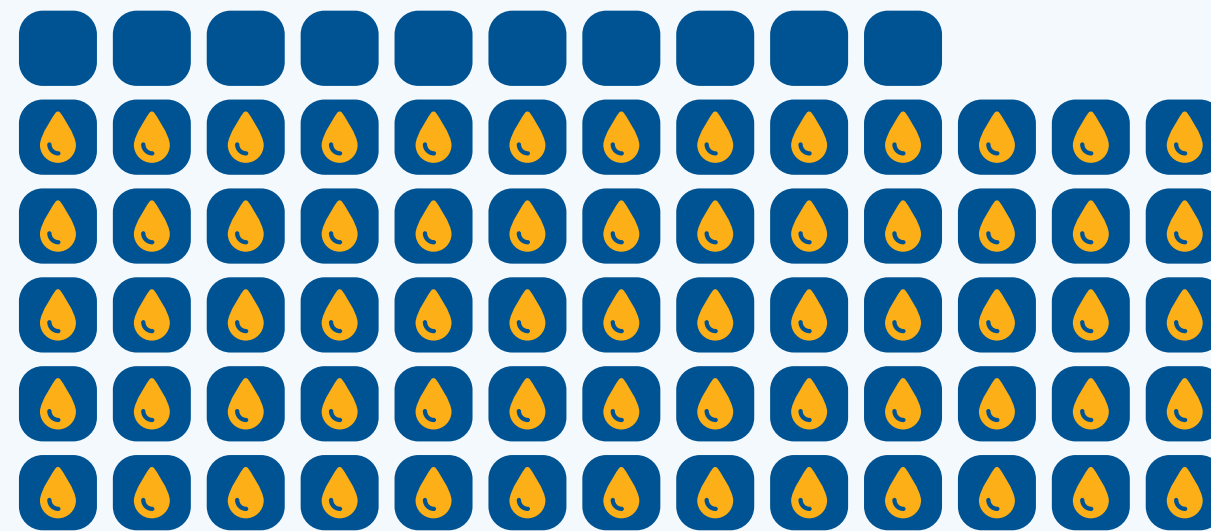
+50%

Source: UN Trade and Development, based on internal analysis.

Notes: Price increases compare average prices for the period 1 January 2024 – 27 February 2026 with prices during the period following the military escalation, 28 February 2026 – 28 May 2026. Crude oil refers to the average benchmark prices for Europe (Brent), Northern America (WTI), Middle East (Dubai) and Russia (Urals). Gasoline refers to the average benchmark prices for unleaded gasoline in Europe (Netherlands), Northern America (United States) and Asia (Singapore).

Most vulnerable economies and their people are exposed to the oil shock.

65 out of **75**
vulnerable economies are net importers of oil



86%
of least developed countries

87%
of small island developing States

 **983**
million people

live in these
vulnerable economies

More than **30%**
live below the extreme
poverty line of **3\$ per day**



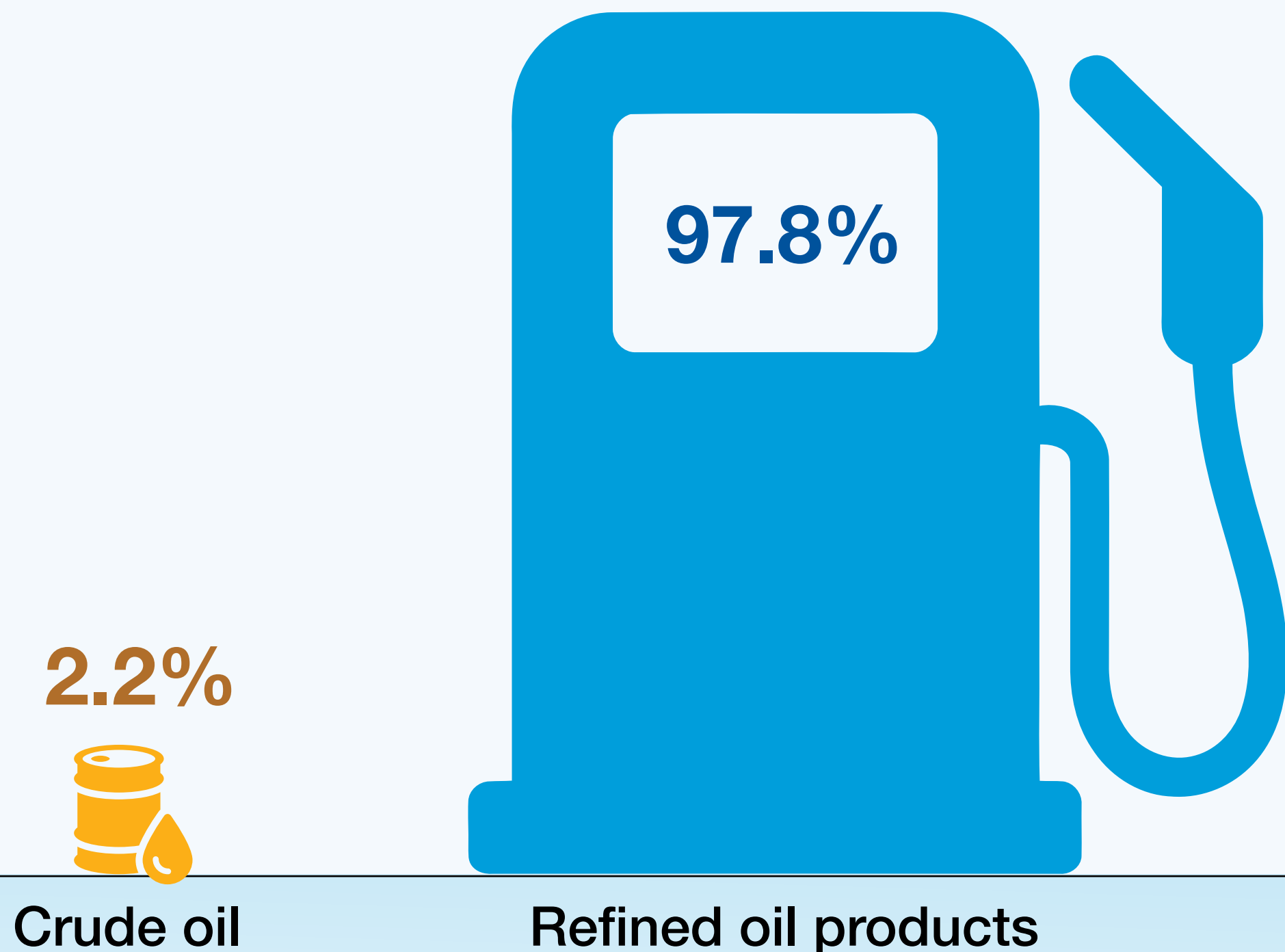
Source: UN Trade and Development (UNCTAD), based on UN Comtrade, UNCTADStat, Asian Development Bank, and World Bank.

Notes: Oil products refer to HS 2709 and 2710. Net importers excluding Singapore. Seven small island developing States are also least developed countries. Latest available data for the poverty headcount ratio at \$3.00 a day, using 2021 purchasing power parities.



Vulnerable economies mainly import refined oil products.

Share of net imports of crude and refined oil in 2024



Source: UN Trade and Development (UNCTAD), based on UN Comtrade.

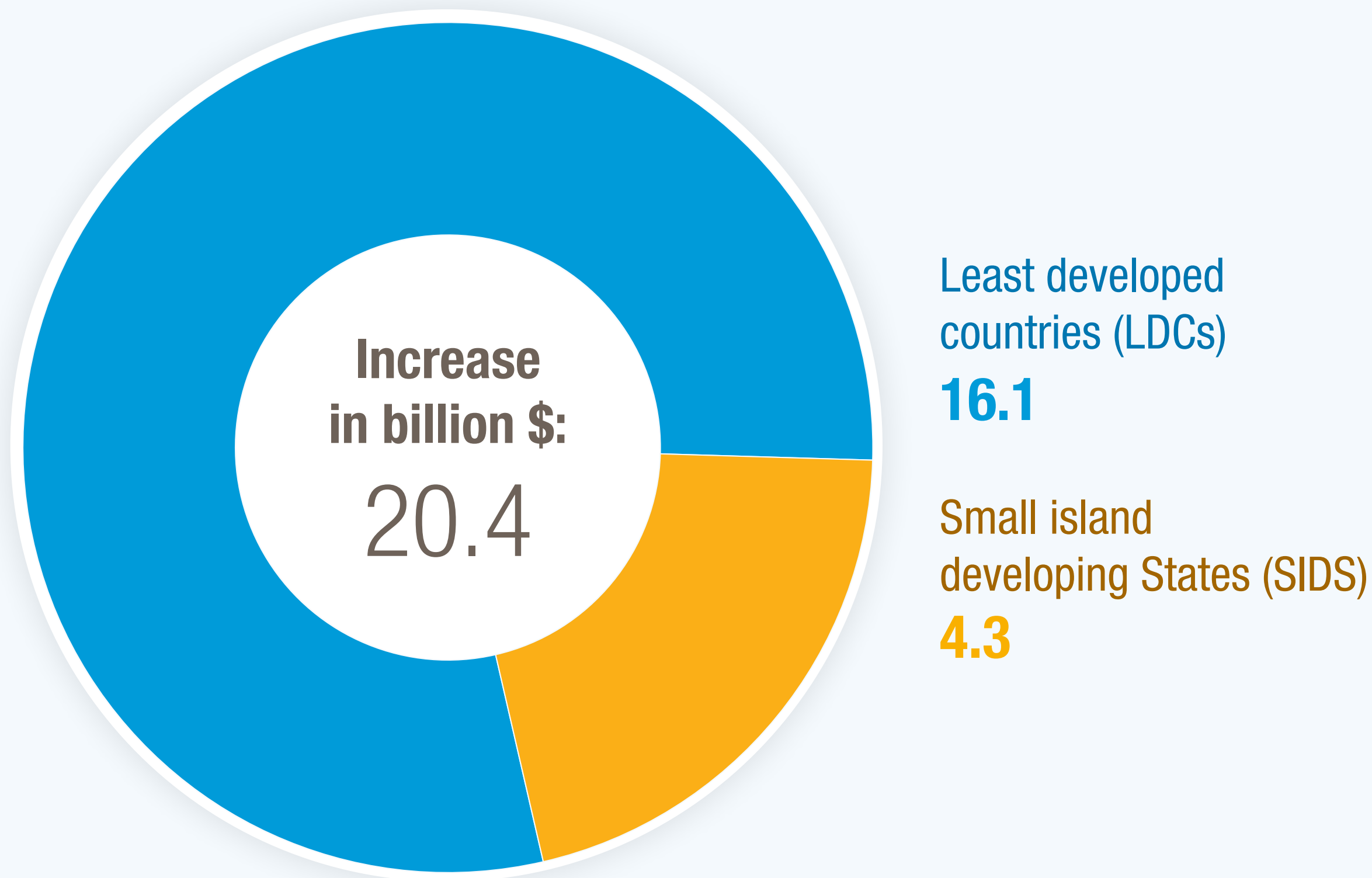
Notes: Lacking sufficient refining infrastructure, vulnerable economies mainly import refined oil products. Oil products refer to HS 2709 and HS 2710. The figures correspond to the 65 net oil importing vulnerable economies, excluding Singapore.



**What is the
additional cost
for the vulnerable?**

The shock could raise the cost of importing oil by \$20 billion yearly.

Change in the net oil import bill from a 50% price increase, assuming quantities remained unchanged at 2024 levels



Source: UN Trade and Development (UNCTAD), based on UN Comtrade.

Notes: Oil products refer to HS 2709 and 2710. Figures for 65 least developed countries and small island developing States that are net importers of crude and refined oil products, excluding Singapore. Seven least developed countries are also small island developing States; they are shown in the LDC aggregate.

Least developed countries with an import bill increase above 0.5% of GDP

Change in the net oil import bill from a 50% price increase, in per cent of GDP

 Mauritania	7.3%	 Malawi	2.2%
 Gambia	6.3%	 Uganda	1.7%
 Burkina Faso	5.0%	 United Rep. of Tanzania	1.7%
 Liberia	4.8%	 Senegal	1.6%
 Zambia	4.3%	 Solomon Islands	1.1%
 Lesotho	4.3%	 Tuvalu	1.0%
 Mali	3.8%	 Lao People's Dem. Rep.	0.9%
 Central African Republic	3.7%	 Djibouti	0.8%
 Myanmar	3.4%	 Benin	0.8%
 Cambodia	2.8%	 Bangladesh	0.8%
 Mozambique	2.8%	 Nepal	0.5%

Source: UN Trade and Development (UNCTAD) computations, based on UN Comtrade and UNCTADStat.

Note: Change in the cost of importing crude and refined oil (HS2709 and HS2710) related to a price increase of 50% if quantities were held constant at 2024 levels.

Small island developing States with an import bill increase above 0.5% of GDP

Change in the net oil import bill from a 50% price increase, in per cent of GDP

 Vanuatu	5.8%	 Barbados	1.8%
 Maldives	5.2%	 Saint Kitts and Nevis	1.5%
 Tonga	4.4%	 Dominican Republic	1.5%
 Mauritius	4.2%	 St. Vincent and the Grenadines	1.3%
 Fiji	3.2%	 Micronesia (Fed. States of)	1.2%
 Samoa	3.0%	 Antigua and Barbuda	1.1%
 Jamaica	2.8%	 Solomon Islands	1.1%
 Saint Lucia	2.6%	 Tuvalu	1.0%
 Belize	2.5%	 Palau	0.9%
 Marshall Islands	2.4%	 Niue	0.8%
 Cabo Verde	2.2%	 Nauru	0.6%
 Seychelles	2.0%		

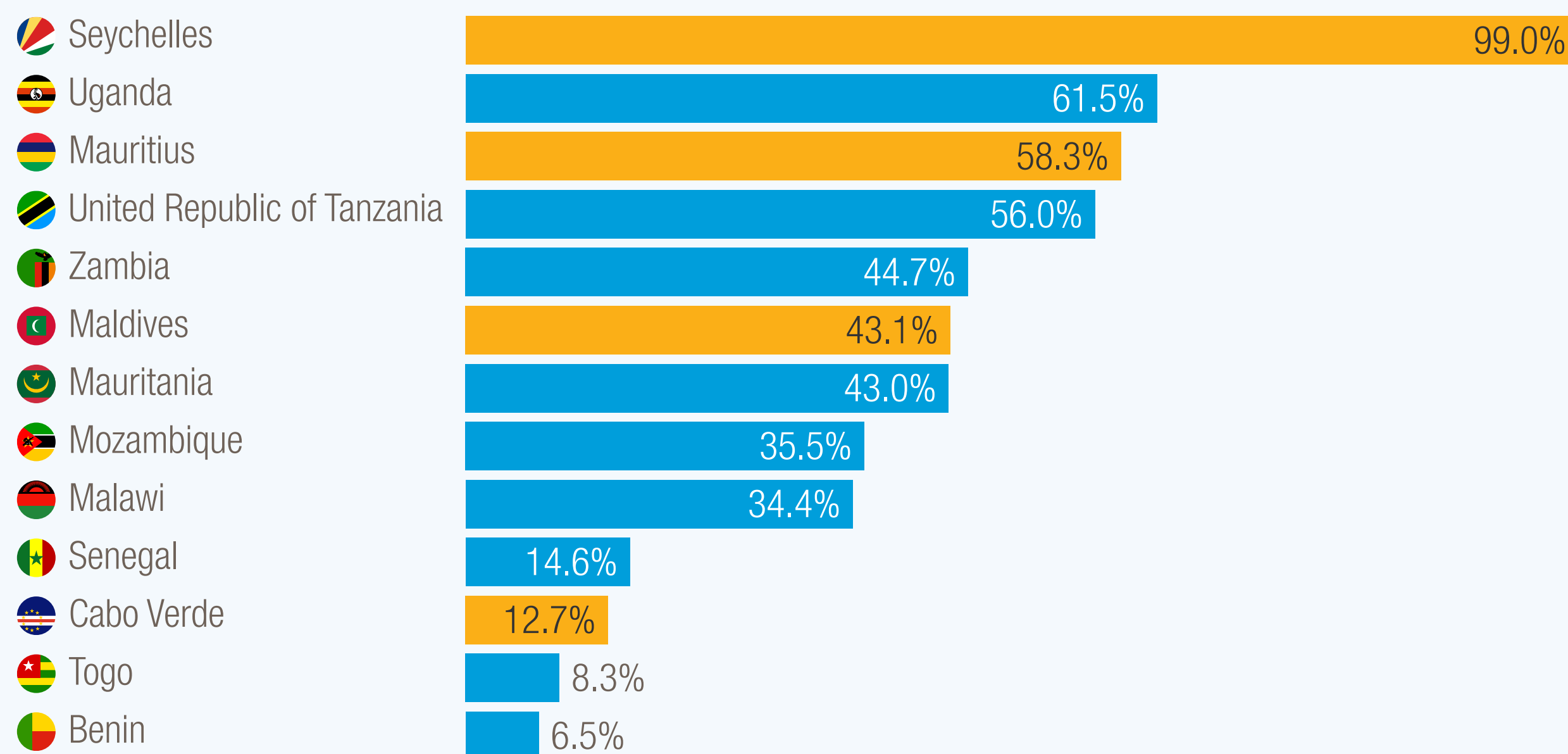
Source: UN Trade and Development (UNCTAD) computations, based on UN Comtrade and UNCTADStat.

Notes: Change in the cost of importing crude and refined oil (HS2709 and HS2710) related to a price increase of 50% if quantities were held constant at 2024 levels. Net importers excluding Singapore.

Furthermore, some economies need to secure alternative supplies.

Share of oil imports sourced from the Hormuz region in 2024,
in per cent

 Small island developing State (SIDS)  Least developed country (LDC)



Source: UN Trade and Development (UNCTAD) computations, based on UN Comtrade.

Notes: Countries sourcing more than 5% of their oil imports from the Hormuz region. Oil products refer to HS 2709 and 2710. Hormuz region considered as Bahrain, Iran, Iraq, Kuwait, Qatar, Saudi Arabia, and United Arab Emirates. Net importers excluding Singapore.

Key considerations



INCREASED COST

Higher oil prices raise freight and fuel costs, increasing the overall cost of goods.



BROADER INFLATION

Many vulnerable economies rely heavily on fuel imports, where oil price increases quickly raise the cost of living. Broader inflationary pressures may also affect net oil-exporters.



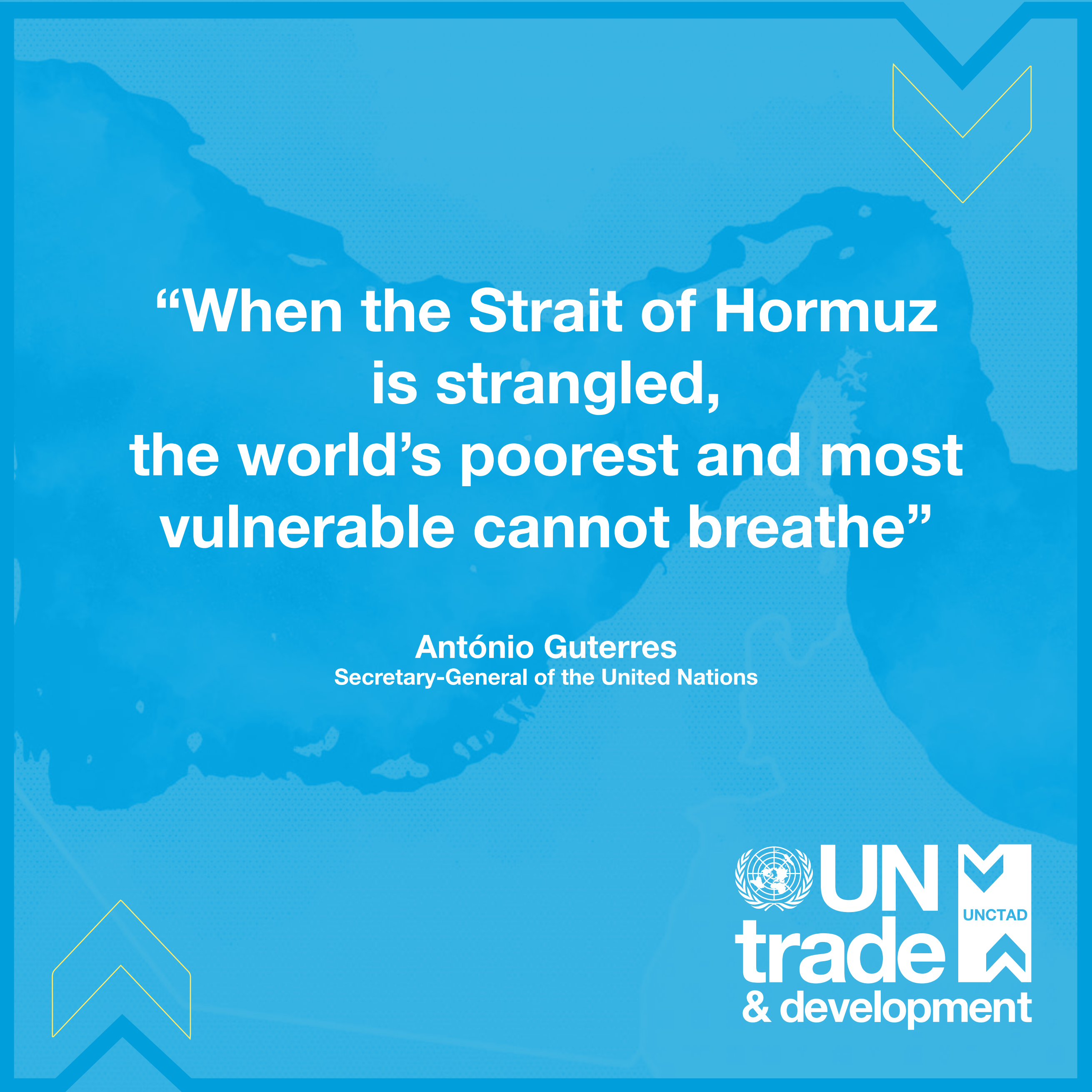
FISCAL PRESSURE

Oil price shocks increase fiscal pressure in net-importing vulnerable economies, forcing trade-offs between shielding households from price spikes and sustaining essential services and long-term investment, including for sustainable development.



ECONOMIC SLOWDOWN

Increased oil import bills can widen current account deficits and weaken exchange rates, triggering higher interest rates, tighter credit conditions, and slower economic growth, especially in economies with limited fiscal space.



**“When the Strait of Hormuz
is strangled,
the world’s poorest and most
vulnerable cannot breathe”**

António Guterres
Secretary-General of the United Nations

